HOUSE BILL 548
By Cochran

SENATE BILL 377

By Rose

AN ACT to amend Tennessee Code Annotated, Title 4, Chapter 56, relative to the "Tennessee Procurement Protection Act."

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 4, Chapter 56, is amended by adding the following as a new part:

4-56-201.

(a) This part is known and may be cited as the "Tennessee Procurement Protection Act."

(b) The purpose of this act is to ensure that suppliers to the state and to political subdivisions of this state are safe, reliable, and free from undue influence and control from foreign adversaries.

4-56-202.

(a) As used in this part:

(1) "Commissioner" means the commissioner of finance and administration;

(2) "Company" means a sole proprietorship, organization, association, corporation, partnership, joint venture, limited partnership, limited liability partnership, limited liability company, or other entity or business association, including all wholly owned subsidiaries, majority-owned subsidiaries, parent companies, or affiliates of such entities or business associations, that exist for the purpose of making profit;

(3) "Department" means the department of finance and administration;

(4) "Domicile" means the country in which a company is registered, where the company's affairs are primarily completed, or where the majority of ownership shares are held;

(5) "Foreign adversary" means a country designated by the United States department of commerce under 15 CFR 791.4 on January 1, 2025, and as amended thereafter; and

(6) "Foreign adversary company" means a company that:

(A) Is domiciled, incorporated, issued, or listed in a foreign adversary;

(B) Is headquartered in a foreign adversary;

(C) Has its principal place of business in a foreign adversary;

(D) Is controlled by the government or an instrumentality thereof of a foreign adversary; or

(E) Is majority-owned by an entity or is board-controlled by an entity that is under the jurisdictional control of the government of a foreign adversary.

(b) If a parent company does not meet the criteria in subdivision (a)(6) and does not recognize more than fifty percent (50%) of the total annual global revenue of the parent company and subsidiaries from China and Hong Kong combined, then the parent company is not a foreign adversary company solely because one (1) or more subsidiaries or affiliates meet the definition of a foreign adversary company.

4-56-203.

It is the policy of this state to:

(1) Prohibit the public procurement of final products or services from a foreign adversary company, whether those products or services are sold directly by the foreign adversary company or through a third-party vendor; and

(2) Authorize the public procurement of products and services from a company that has operations, affiliates, and subsidiaries in a foreign adversary so long as the company is not a foreign adversary company.

4-56-204.

(a) Except as provided in subsection (e), a foreign adversary company is prohibited from bidding on or submitting a proposal for a contract with a state agency or political subdivision of this state for goods or services.

(b) For the purpose of complying with subsection (a), a company that offers to provide final products or services to a state agency or a political subdivision of this state that are manufactured or produced by a foreign adversary company under subsection (a) shall, for the purposes of this section, be considered a foreign adversary company. The restriction does not apply to products or services which have inputs from a foreign adversary company but that are not final products of a foreign adversary company.

(c) A state agency or political subdivision of this state shall require a company that submits a bid or proposal for a contract for goods or services to certify that the company is not a foreign adversary company as described in subsection (b).

(d) If the commissioner determines that a company has submitted a false certification under subsection (c) of this section:

(1) The company is liable for a civil penalty in an amount that is equal to the greater of two hundred fifty thousand dollars ($250,000) or twice the amount of the contract for which a bid or proposal was submitted.

(2) The state agency or the department shall terminate the contract with the company; and

(3) The company shall be prohibited from bidding on a state contract for sixty (60) months.

(e) Notwithstanding the prohibitions in subsections (a) and (b), a state agency may enter into a contract for goods or services produced by a foreign adversary company if:

(1) There is no other reasonable option for procuring the good or service; and

(2) The contract is pre-approved by the department after a determination that not procuring the good or service would pose a greater threat to the state than the threat associated with the good or service itself.

4-56-205.

If any provision of this part or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this part are severable.

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it.